South Superhighway Filmore St. Barangay Palanan, Makati City
Tel. Nos.: 8856-5486, 8856-9641 • Telefax: 8856-5487
www.cashandcarrymall.com

CONTRACT OF LEASE

This Contract of Lease is made and entered into this month of August 18, 2023 in the City of Makati, by and between:

ADEBE REALTY COMPANY INC, a corporation, duly organized and existing under and by virtue of the laws of the Philippines, with principal office and postal address at Osmeña Highway (formerly South Superhighway) cor. Emilia and Filmore Sts. Near Gil Puyat Ave., Makati City, hereinafter referred to as the **"LESSOR"**.

--- And ---

MARY GRACE FOODS, INC. / CAFE MARY GRACE, a corporation, organized and existing under and by virtue of the laws of the Republic of the Philippines, with principal and postal address at 2985 Mahogany St. Ups II Brgy. San Martin De Porres, Parañaque City, hereinafter referred to as the **"LESSEE"**.

WITNESSETH THAT:

WHEREAS, the **LESSOR** is the registered owner and operator of Cash and Carry Mall, located at along Osmeña Highway (formerly South Superhighway) cor. Emilia and Filmore Sts. Near Gil Puyat Ave., Makati City, hereinafter referred to as **"THE MALL"**;

WHEREAS, LESSOR offered the **LESSEE** to lease a portion of the MALL, which is particularly described in the Award Notice and Turnover of the Leased Premises hereto attached as Annex E and in the floor plan attached hereto as Annex B, which forms an integral part of this Contract, which space hereinafter referred to as the **LEASED PREMISES**;

WHEREAS, the **LESSEE**, by reason of the above considerations, hereby accepts the said offer, subject to the terms and conditions set forth below and in Annex A as fundamental lease provisions, which forms an integral part of this Contract;

WHEREAS, LESSEE intends to lease the **LEASED PREMISES** from the **LESSOR** for the purpose of **Baskeshop and Cafe / Casual Dining;**

NOW, THEREFORE, for and in consideration of the payment of rental and other charges due hereunder, the representations and warranties of the **LESSEE**, and the faithful compliance by the LESSEE with all covenants, terms, conditions and restrictions hereinafter set forth herein including all Annexes and such other agreements as may be necessary, all of which are made integral parts hereof, the **LESSOR** hereby leases and lets the **LEASED PREMISES** to the **LESSEE**, and the **LESSEE** hereby accepts the **LEASED PREMISES**, under the following terms and conditions:

FUNDAMENTAL LEASE PROVISIONS

1. **LEASED PREMISES**

1.1 Commercial Center	**Cash & Carry Mall**
1.2 Location Code	**Unit G13, GLR33, G03A, GM14 (GLR03) Ground Level**
1.3 Leasable Area	**194.93 sqm**

2. **USE OF PREMISES**

2.1 Registered Trade or Bus. Name	**CAFE MARY GRACE**
2.2 Stipulated Use of Leased Premises	**Restaurant**

3. **LEASE TERM**

3.1 Start of Lease	**April 01, 2023**
3.2 Expiry of Lease	**May 31, 2028**
3.3 Term of Contract	**Five (5) years and two (2) months**

4. **PERCENTAGE RENT**

Seven percent (7%) of Monthly Gross Sales;
or

The LESSEE shall provide the LESSOR with a monthly report of its sales and operations. The monthly report shall include, but not limited to information sufficient to enable the LESSOR to determine the gross sales of the LESSEE from its operations.

5. **MINIMUM MONTHLY RENT PER SQM (whichever is higher)**

Year 1	**Php1,700.00/sqm/month**
Year 2	**Php1,785.00/sqm/month**
Year 3	**Php1,875.00/sqm/month**
Year 4	**Php1,970.00/sqm/month**
Year 5	**Php2,070.00/sqm/month**

6. **LEASE COMMENCEMENT**	**April 01, 2023**
7. **LEASE EXPIRY**	**May 31, 2028**
8. **RENTAL ESCALATION**	**Subject to annual adjustments as may be determined by the LESSOR**
9. **CUSA CHARGES**	**Php120.00/sqm/month**
10. **AIRCON CHARGES**	**Php120.00/sqm/month**
11. **AD AND PROMO FEE**	**Php20,000.00 per year plus VAT**

12. SECURITY DEPOSIT	**One Million Nine Hundred Eighty Eight Thousand Two Hundred Eighty Six (Php1,988,286.00)** Equivalent to **Six (6) Months** of monthly minimum rental rate per sqm.
13. ADVANCE RENT	**Eight Hundred Forty Seven Thousand Eighty Seven and 81/100 only (Php847,087.81)** Equivalent to **Two (2) Months** of monthly minimum rental rate per sqm; subject to VAT and to be applied to the first **Two (2) Month/s** of the lease term.
14. ELECTRICITY CHARGES	**Sub-metered; LESSEE's Account**
15. CENTRALIZED GAS CHARGES	**Sub-metered; LESSEE's Account**
16. WATER CHARGES	**Sub-metered; LESSEE's Account**
17. CONSTRUCTION BOND	**Three Hundred Thirty One Thousand Three Hundred Eighty One (Php331,381.00),** cash bond equivalent to **One (1) month** of monthly minimum rent per sqm to be paid before the start of construction and shall be refunded thirty (30) days after correction of all construction deficiencies and completion of all government and mall requirements.
18. EXTRAORDINARY INFLATION	In case an extraordinary inflation of the Philippine Peso should supervene during the term of this lease or its extensions or renewals, the LESSOR shall have the option to adjust the minimum monthly rent accordingly. The LESSOR shall exercise this option by giving written notice to the LESSEE of the occurrence of the extraordinary inflation coupled with the demand to pay the adjusted rent on the succeeding calendar month after the receipt of notice which in no case shall be more than fifteen (15) days. If the LESSEE does not accept the new minimum monthly rent, the lease shall be deemed automatically terminated upon the effectivity of the new Monthly Rent.
19. TAXES	Any applicable and payable taxes arising out of this Contract, such as, but not limited to the value-added tax (VAT), shall be for the account of the LESSEE.
20. MANNER OF PAYMENT	The payment of the lease rental, CUSA and other charges may be paid in cash or through bank checks to be submitted on or before every **10th** day of each month. Any monthly rental, and other fees and charges which remain unpaid when due shall be subject to interest at the rate of two percent (2%) per month or a fraction thereof, and a three percent (3%) penalty per month or a fraction thereof, to be computed daily and compounded monthly, from the date of such default until fully paid, without prejudice to any and all rights and remedies of LESSOR under this Contract for non-payment or delay in the payment thereof.

GENERAL TERMS AND CONDITIONS

1. **LEASED PREMISES**

1.1 LESSOR hereby leases to LESSEE, and LESSEE hereby leases from LESSOR, approximately **194.93 square meters** of space within THE MALL, more particularly described in the Award Notice and Turnover of the Leased Premises, marked as ANNEX E and made an integral part hereof.

1.2 The location of the LEASED PREMISES is delineated, in red or other contrasting color on the plot plan of subject building, which floor plan is marked ANNEX B and made an integral part hereof.

1.3 This lease does not extend to the outside portion of the LEASED PREMISES, and the painting, installation or affixing of business notices, signs or other advertising media shall not be construed as an extension of this lease to the outside portion of the LEASED PREMISES. The lease of the LEASED PREMISES from the LESSOR shall include the use in common by the LESSEE and other lessees of the Common Areas of the Mall as far as the same are necessary for the use and enjoyment of the LEASED PREMISES and subject to the right of the LESSOR to restrict such use in any way. No merchandise or other property of the LESSEE shall be placed on the common areas of the LEASED PREMISES or the Mall. The LESSOR shall have the right to cause the removal of merchandise or other property belonging to the LESSEE found on or within the corridors, hallways or other common areas of the LEASED PREMISES and the common areas of the Mall and charge the cost of removal, handling and storage (if necessary) to the LESSEE. The LESSOR leases and delivers the LEASED PREMISES to the LESSEE on an "as is, where is" basis. The LESSEE hereby declares that it has inspected the LEASED PREMISES prior to the execution of this Lease Contract, and acknowledges that it is fully satisfied with the conditions thereof. The LESSOR makes no warranty as to the condition, operational or structural capability, or as to any hidden defects of the LEASED PREMISES which the LESSEE warrants to know by virtue of the LESSEE's duty to inspect.

1.4 If the LESSOR is unable to transfer physical possession of the Leased Premises to the LESSEE before the date specified herein due to (i) the refusal of a prior lessee to vacate the Leased Premises notwithstanding the termination of the lease term agreed upon between such prior lessee and the LESSOR, or (ii) any other reason beyond the control of the LESSOR, the LESSOR shall not be subject to any liability for the failure to deliver the Leased Premises to the LESSEE. Neither shall such failure affect the validity of this lease or the obligations of the LESSEE hereunder; provided that, the rental commencement date shall be deferred to a date to be determined by the LESSOR.

2. **PURPOSE**

2.1 The LEASED PREMISES form an essential part of the MALL, as an integrated and controlled development project. Accordingly, the LEASED PREMISES shall be exclusively used and occupied for commercial business primarily dedicated to retail and merchandising trade of a type and quality that will fit into the pattern of development of the surrounding areas, as determined by the LESSOR.

2.2 The LESSEE agrees to use and occupy the LEASED PREMISES during the term hereof only for the purpose and under the trade name specified in the Fundamental Lease Provisions and for no other purpose whatsoever without the written consent of the LESSOR. It is expressly agreed that if, at any time during the term of this lease and without the previous written consent of the

LESSOR, the LEASED PREMISES are used for purposes other than what has been agreed upon, the LESSOR shall have the option to (a) cancel this Contract; (b) increase the rent; or (c) compel the LESSEE to stop the unauthorized activities.

2.3 The sale or distribution of items/products/services which are unlawful, illegal or immoral including but not limited to fake items, drugs or unauthorized merchandise is not allowed and is a valid reason for the cancellation and/or termination of this contract.

2.4 The LESSEE will be solely liable for damages for any claims by third parties or complaints filed by third parties, government agencies or instrumentalities against any unlawful or illegal merchandise or services and LESSEE shall indemnify and hold the LESSOR free and harmless from any claim or demand by third persons or government agencies and instrumentalities due to LESSEE's breach of this provision.

2.5 Any use of the LEASED PREMISES permitted to the LESSEE shall constitute a non-exclusive permission, and the LESSOR reserves the right to permit identical or similar uses by other tenants of other leasable spaces within THE MALL.

2.6 The LESSEE and the LESSOR have agreed and understood that the LESSOR was induced to enter into this lease because of the material representation of the LESSEE as to financial capacity, business reputation, honesty and personal integrity of LESSEE's present principal owner(s), stockholder(s), manager(s), or proprietor(s). As such, it is agreed by the parties that any change, sale or transfer of the owner(s), stockholder(s), proprietor(s), or the ownership holdings of the LESSEE's business entity shall give the LESSOR the option/right to cancel/rescind this Contract of Lease upon written notice to the LESSEE.

The LESSEE warrants that the information provided herein, whether personal or corporate, is true and correct as of the date hereof and agree to directly and personally inform the LESSOR in writing of any change in relevant data such as but not limited to name, business name, address, contact details and/or status. It is understood that the LESSOR shall have the right to solely rely on the information provided by the LESSEE and shall not be held responsible for any error, non-communication or miscommunication in the personal information given by the LESSEE. The LESSEE also warrants that any payment made and to be made to the LESSOR has been and will be obtained through legitimate means and do not and will not constitute all or part of the proceeds of any unlawful activity under applicable laws. The LESSEE holds the LESSOR free and harmless from any incident, claim, action or liability arising from the breach of the warranties herein, and hereby authorize the LESSOR to provide to any government body or agency any information pertaining to this Agreement if so warranted and required under existing laws.

2.7 The grant of this lease shall not prejudice or adversely affect the following exclusive and absolute rights of the LESSOR to the extent specified below:

a) To provide for the free and uninterrupted passage and running of water, drainage, electricity, telecommunications or other public utilities or services through the installation of conduits, pipes, wires, cables or ducts as are now or hereafter be installed in, on or under the LEASED PREMISES, serving or capable of serving the Mall or any adjoining property, and to enter the LEASED PREMISES to inspect, repair or maintain such conduits, pipes, wires, cables or ducts;
b) To erect, alter or consent to the erection or alteration of any structure or building located or to be located on any adjoining or neighboring property, notwithstanding that such erection or alteration may diminish the access of light, view or air enjoyed by the LEASED PREMISES, or to deal with such neighboring or adjoining property as the LESSOR shall see fit;
c) To enjoy subjacent and lateral support from the LEASED PREMISES for the remainder of the Mall;
d) To name or re-name the Mall with any such style or name and from time to time, to change, alter, substitute or abandon any such name, without compensation to the LESSEE or the other tenants of the Mall;
e) To improve, change, alter, extend, reduce, add or otherwise deal with the arrangement, design or decoration of the common areas, provided that in exercising such right the LESSOR will endeavor to cause as little inconvenience to the LESSEE as practicable under the circumstances;
f) To make, impose, adopt, supplement, abolish or amend such regulations as it may consider necessary for the management, operation or maintenance of the Mall, or the operation of the common areas, common parking areas, private roads, sidewalks, malls, driveways, entrances or exits in the Mall;
g) To appoint, ratify or confirm any person, entity or firm to manage and administer the Mall and to delegate such person, entity or firm the power to adopt rules and regulations as it shall deem necessary for the management, maintenance or operation of the Mall, and to implement the rules and regulations adopted by the LESSOR, and for this purpose, any

4.3 The Construction Bond shall remain in force until the construction works are satisfactorily completed and LESSOR shall refund LESSEE the construction bond after satisfaction of all requirements as herein stated in paragraph 4.2 and after deducting all expenses, damages and costs, related to LESSEE's construction activities, whether actual or potential, if any.

5. **TERM**

5.1 The term of this lease shall be for a period (hereinafter referred to as Lease Period) of **Five (5) years & two (2) months**, commencing on **April 01, 2023** and ending at midnight of **May 31, 2028** unless earlier terminated by the LESSOR as herein provided. The term of the lease shall not be deemed extended beyond the date specified herein for its termination for any reason whatsoever. There shall be no tacit renewal of this Contract, notwithstanding the continuation of the LESSEE in the possession of the LEASED PREMISES for any length of time after expiration of the term of this lease.

5.2 Any renewal or extension of this contract must be expressly agreed upon by the LESSOR and LESSEE in writing and under such terms and conditions as may be acceptable to both parties; provided that, the LESSEE shall have faithfully complied with all the terms of this Contract. For this purpose, the LESSEE shall notify the LESSOR at the latter's office and in writing, of its intent to renew or extend the contract at least three(3) months prior to the Termination Date of this Contract of Lease, or any extension or renewal thereof, provided that the notice as aforesaid does not in any way vest unto the LESSEE the right to demand for such extension or renewal of the Lease Period or any extension thereof. In the event that the LESSOR and the LESSEE are unable to agree on the terms and conditions under which this lease shall be renewed within three (3) months period prior to the expiry of this lease, then this lease shall automatically be terminated and the LESSOR shall be entitled to the rights granted under this Contract by reason of such termination.

5.3 The LESSEE agrees to return and surrender the LEASED PREMISES at the expiration of the term of this lease in the same condition as it was found at the commencement of this lease (reasonable wear and tear excepted), without any delay whatsoever, devoid of all occupants, furniture, articles and effects of any kind, other than the alterations, additions or improvements which pertain to the LESSOR in accordance with the terms and conditions hereof. It is expressly understood that all other permanent improvements and fixtures not removable without defacing or damaging the premises as determined by the LESSOR shall automatically be owned by it and be surrendered with the premises in good condition without compensation to the LESSEE. The LESSEE shall repair any damage caused to the LEASED PREMISES which cannot be accounted for by reasonable wear and tear and restore the LEASED PREMISES to the condition it was found at the commencement of this lease to the satisfaction of the LESSOR. All keys giving access to all parts of the LEASED PREMISES and/or common areas (as applicable) shall be returned to the LESSOR, and all expenses incurred in removing from the LEASED PREMISES or Mall, the names, posters, signboards, decoration or advertising matters relating to the LESSEE, including any damage caused by such removal, shall be for the account of the LESSEE.

5.4 If the LESSEE fails to return the LEASED PREMISES to the LESSOR at the end of the term of this lease, the LESSEE shall pay the LESSOR, as damages, a sum equal to twice the rental to be paid by the LESSEE to the LESSOR for the period during which the LESSEE retains possession of the LEASED PREMISES. The exercise by the LESSOR of its rights shall not be interpreted as a grant of permission to the LESSEE to continue in possession of the LEASED PREMISES beyond the term of this lease, and the damages due to the LESSOR hereunder shall be in addition to the damages which may become due to the LESSOR.

If the LEASED PREMISES are not surrendered at the expiration of this lease, the LESSEE shall be responsible to the LESSOR for all damages which the latter may suffer by reason thereof and will indemnify the LESSOR against any and all claims made by any succeeding lessee, resulting from the delay in delivering possession of the LEASED PREMISES to such succeeding lessee, to the extent that such delay is occasioned by the failure of the LESSEE to surrender the LEASED PREMISES on time.

notice, act, decision, forbearance or consent required to be given or done hereunder shall be fully and effectively done or given if expressed to by or on behalf of such person, entity or firm;

h) To undertake the improvement of the Mall or any development work in an adjoining lot, within the vicinity of the Mall or within the area of the Mall, in such a manner as to cause the least inconvenience to the LESSEE, its employees, guests, customers and clients and for this purpose, the LESSEE shall not hold the LESSOR liable for any resulting disturbance or discomfort arising out of such development work or improvement;

i) To undertake any redevelopment of the Mall provided that if the entire Mall or a substantial portion thereof including the LEASED PREMISES is affected by a change in the area redevelopment plan, the contract shall be terminated upon prior written notice to the LESSEE at least thirty (30) days before the intended date of redevelopment or construction.

3. **SUBMISSION OF PLANS**

Before the execution of this Contract of Lease and within the time frame provided for by the LESSOR, the LESSEE shall submit the construction plan for the proposed installations, improvements, lighting fixtures, floor covering, any trade fixture, signs, lighting, plumbing fixtures, installation of electrical outlets for electrical appliances / equipment, telephone and teletype and other installations required by the nature and purpose of its business and only after receipt of the **LESSOR**'s prior written approval of the said construction plan shall the **LESSEE** commence its fit out works at

its own expense. Any subsequent additions, alterations or changes to the approved plans shall be made only upon prior written consent of the LESSOR. The LESSOR reserves the right to refuse any alterations, additions or improvements requested by the LESSEE if in LESSOR's opinion, there is just cause to warrant such refusal.

The **LESSEE** warrants and ensures that all proposed installations and improvements in its proposed construction plan shall not alter or adversely affect the strength and general structure of the Complex or damage the leased premises, and the relevant conditions of this Contract are not thereby violated.

The **LESSEE** shall be responsible for securing all necessary government permits or licenses as well as pay all taxes necessary for its operations. The **LESSEE** shall furnish the **LESSOR** with copies of the said permits and licenses or any renewal thereof within fifteen (15) days after receipt of the LESSOR's request. The LESSEE and the LESSOR will carry out a joint inspection of the leased premises during handover and finalize the handover checklist issued by the LESSOR.

The LESSEE must make a declaration of its maximum electrical load and enumerate thereat, in the checklist provided by the LESSOR, the electrical fixtures, appliances, equipment, facilities, etc. The LESSEE shall cooperate with the LESSOR's agent / representative during the LESSOR's regular inspection of the LESSEE's electrical load. The LESSEE shall use licensed electricians who must ensure that the electrical load shall be within the capacity of the electrical panel on the corresponding floor. The LESSEE shall comply strictly with the requirements of the Fire Department and/or any relevant governmental authority. The LESSEE shall be liable for damages resulting directly or indirectly from its violation of this provision.

It is further agreed that all alterations, additions and improvements, except the movable furniture put in at the expense of the LESSEE, shall remain upon, and be surrendered with the premises as part thereof at the termination of the lease without compensation to the LESSEE, and without prejudice to the right of the LESSOR to require the LESSEE to restore the premises to its original tenantable condition

4. **CONSTRUCTION BOND**

4.1 Before the LESSOR allows the start of the construction activity of the LESSEE, LESSEE should deposit with the LESSOR a construction bond in the amount as stated in paragraph 17 of the Fundamental Lease Provision (FLP).

4.2 The Construction Bond shall be used to guarantee LESSEE's compliance with the rules and regulations of the Mall, payment of any damage that may be caused to the LESSOR's property, the Mall or to its facilities during the construction and to guarantee LESSEE's full and faithful compliance with all pre-operating requirements including, but not limited to the improvement of the LEASED PREMISES by LESSEE according to the approved submitted construction plans to the LESSOR; submission of copies of required permits and insurance policies; and compliance to the policies and procedures contained in the Design, Construction and Renovation Guidelines attached hereto as **ANNEX C**.

5.5 If the LESSEE is an authorized franchise holder carrying business under a trade name, the LESSEE shall provide the LESSOR a copy of the signed franchise agreement and it shall be understood that the grant of franchise is, among others, a reason for the grant of this lease. The termination or cancellation of the franchise for any reason whatsoever shall entitle the LESSOR at its option to terminate this lease regardless of the term of this Contract without prejudice to any other rights to the LESSOR under this Contract.

6. RENT, TAXES & OTHER CHARGES

6.1 **RENT** – In consideration for the use and occupancy of the LEASED PREMISES, the LESSEE shall pay the LESSOR the amount of rent set out in FLP (Minimum Monthly Rental/Percentage Rental/Fixed Rental Rate) whichever is applicable on the **10th** day of each month without need of demand. The amount of the Minimum Monthly Rental Rate shall increase in accordance to the annual adjustment as may be determined by the LESSOR.

Please refer to Annual Rental Escalation Clause and Minimum Monthly Rental Rate Adjustments as set out in the FLP (FUNDAMENTAL LEASE PROVISION)

6.2 **CUSA Charges**– In addition to the Rent, the LESSEE shall pay the LESSOR on the same date the Rent is due its share of the cost and expenses for Maintenance and administration of the Common Areas at the rate specified in FLP ("Common Areas, Utilities, Security and Administrative [CUSA] Charges"). The LESSOR reserves the right to increase the CUSA Charges should there be a corresponding increase in the cost and expenses for the maintenance and administration of the Common Areas or upon the effectivity of government mandated manpower wages for janitorial, security, and administration personnel, with the increase in rate proportionate thereto.

6.3 **AIRCON Charges** – The LESSEE shall likewise pay its share in the cost and provision of the centralized air-conditioning service of the Mall at the rate specified in FLP ("Aircon Charges"). The monthly AIRCON Charges shall be subject to periodic review by the LESSOR and maybe increased from time to time to cover any increase in the costof maintenance, staff, replacement parts, depreciation or a corresponding increase in the rates of electric/ power supply.

6.4 **VALUE ADDED TAX (VAT) and other TAXES** – The LESSEE agrees to pay the LESSOR an additional amount equivalent to the applicable Value Added Tax (VAT) or other similar taxes that the Government may impose in the future. The LESSEE shall withhold the applicable withholding tax on all rental payments and remit the same to the Bureau of Internal Revenue within the time prescribed by law. The LESSEE shall furnish the LESSOR with proof of such remittances as soon as a copy thereof is available. In the event that at any time during the term or renewal of this lease, the real property tax on the building or the land on which it stands is increased or there is levied any new or additional assessment or charge on the building or the land on which it stands, then the applicable amount of the minimum monthly rental in force on the date the real property tax, assessment or charge is increased or imposed, shall likewise be adjusted or increased in direct proportion to the increase in or additional real property taxes, assessment or charge. All other taxes due by reason of the receipt of the rental and all other amounts which the LESSEE is required to pay the LESSOR as provided hereunder, as well as the documentary stamp taxes or other taxes accruing by reason of the execution of this contract shall be for the account of the LESSEE.

6.5 The monthly rental rate shall be payable at the LESSOR's office without need of demand. Payment of rentals shall be made either in cash or check made payable in the name of **ADEBE REALTY COMPANY INCORPORATED.** The receipt of a check in payment of the rentals due hereunder shall not produce the effect of payment until the amount thereof is actually received/ encashed. Notwithstanding pretermination of this contract by the LESSEE, its obligations to pay rent for the remaining term of the contract shall remain valid, and said obligations shall become immediately due and demandable.

6.6 Without prejudice to any other remedy that the LESSOR may have under this Contract or the law, in the event that the LESSEE shall fail to timely pay the Rent or any other amount payable under this Contract, the LESSEE shall pay an interest of two (2%) percent per month on the

amount due to be computed from the date of delinquency until paid in full. In addition to the preceding interest charges, all arrears (whether
principal and/or interest) shall be subject to a penalty equivalent to three (3%) per month of the total amount payable to the LESSOR to be computed from the date of delinquency until fully paid.

The preceding interest and penalty charges shall be computed daily and compounded monthly and shall apply to any and all arrearages in the amounts herein provided to be paid by the LESSEE including, but not limited to, rents, utility charges, CUSA charges, aircon charges, marketing charges and deposits.

6.7 All payment received by the LESSOR shall be applied against the statement of account or billing with the earliest date. In the event that the payment of interest, penalty, rent or charges is covered by one statement of account, then the payment received by the LESSOR shall be applied in the payment of obligations stated therein in the following order or priority: (i) first, against the interests, (ii) second, against penalties, (iii) third, against unpaid utilities, (iv) fourth, against unpaid CUSA and aircon charges, (v) fifth, against other charges, (vi) finally, against unpaid rents. Should the payment received be insufficient to completely settle any outstanding obligation, whether covered in one statement or account or billing, or otherwise, then subsequent payment(s) to be received from the LESSEE shall be applied in the payment of such unpaid amount.

6.8 **GROSS SALES** – The term "Gross Sales" as used in this Contract shall be understood to mean the total amount of all sales and other revenues from all businesses conducted in, upon or from the LEASED PREMISES, and whether such sales and revenues be effected by or through cash, check, credit card, charge account, barter, exchange or otherwise, without regard to whether or not collection is made of the amounts for which credit was given, and shall include, without limitation, the total gross amounts received or accrued for the sale of food, beverages, goods, wares and merchandise, the total amounts received or accrued services performed in, at or from the LEASED PREMISES, for equipment and other rentals, and the amounts of all fixed and similar payments received or accrued from the business conducted in, upon or from the LEASED PREMISES together with the amounts of all gift certificates tendered or used to pay for merchandise sold in the LEASED PREMISES. Any transaction on installation basis involving the extension of credit or deferral of payment, such as but not limited to "lay away" sales and conditional sales, shall be treated as a sale for the full price reckoned at the time merchandise is invoiced to the customer.

LESSEE may, however, deduct from Gross Sales, the gross selling price of used oil and other scrap items, sales discounts granted to employees and customers, free meals granted by way of benefits and/or given to customers in order to promote the business of the LESSEE, sales of the promotional and novelty items sold by LESSEE and the lesser of the price of or credit allowed in lieu of merchandise returned by customers for exchange or reimbursement; provided, that the price of the merchandise delivered to customers in any such exchange shall be included in the Gross Sales. Gross Sales shall not include the amount of value added, sales excise or gross receipts tax imposed by any municipal or national government authority directly on sales collected from customers; provided that the amount thereof is billed separately from the selling price and is actually paid by LESSEE to such government authority; provided further, that the amount of value-added or similar tax, whether or not billed to the customer as a separate item, and allowed by the proper government authority(ies) as a deduction or exclusion from gross sales shall likewise be allowed or as deduction or exclusion from Gross Sales.

6.9 In the event that the stipulated percentage rate of Monthly Gross Sales is higher than the amount stipulated as Fixed / Basic Monthly Rental in the Fundamental Lease Provisions (FLP), the LESSEE shall pay a Percentage Rent in lieu of the fixed / basic rent with an amount equivalent to the applicable percentage rate of its Gross Sales for the preceding calendar month.

6.10 The Rent under this contract is strictly a confidential matter and the LESSEE shall not include in its invoices to customers any reference to the same.

7. ACCOUNTING AND REPORTING OF SALES

7.1 Within the first seven (7) calendar days after the end of each calendar month beginning on the first month of store operations, the LESSEE shall furnish and deliver to the LESSOR in writing a statement certified by LESSEE or its authorized representative setting forth the total gross sales made by the LESSEE in, upon or from the LEASED PREMISES during each preceding month. In addition, within ten (10) calendar days after the end of each calendar year, the LESSEE shall furnish the LESSOR a statement certified by LESSEE, or its representative, setting forth the total gross sales for the year itemized in months made in, upon or from the LEASED PREMISES during the preceding year. The LESSEE's failure to provide any required accounting statement shall be a material breach of this lease which shall entitle the LESSOR to terminate this lease contract.

7.2 All transactions must be covered by appropriate sales invoices bearing the name of the LESSEE's branch and registered in an accepted recording machine. Such recording machine shall contain lock-in cumulative tapes with cumulation capacity satisfactory to the LESSOR. The cash register tapes and all supporting invoices and documentation shall be preserved for examination by auditors of the LESSOR. The LESSEE hereby agrees to the daily monitoring of its sales by allowing the LESSOR's authorized representative to conduct a reading of the recording device or medium, provided that it exert all efforts to ensure that such is performed in a manner which shall not greatly disturb or interrupt the business operations of the LESSEE and are completed in the least amount of time, and by submitting to the LESSOR a summary of daily sales report. The LESSEE also agrees to the daily submission of the audit tape or disk for the previous day. The LESSEE shall further allow the LESSOR or its authorized representatives to inspect all sales on whatever ledger accounts and supporting papers, the LESSOR deems necessary to accurately determine the LESSEE's income from sales and other income of whatever nature per month.

7.3 The LESSEE shall maintain books of accounts and other business records, and preserve the same for purposes of audit. In this regard, the LESSEE shall coordinate with the LESSOR's Auditing Department in order to set up a compatible account system. In case the LESSEE has other branches, it shall keep separate records of its sales derived from the LEASED PREMISES.

7.4 The LESSEE shall keep all sales invoices, sales summaries, official reports, cash register tapes, books of accounts such as but not limited to the general ledger, cash receipt books and sales books, supporting papers and other business records, the LESSOR's authorized representatives may deem reasonably necessary to determine the LESSEE's gross sales. These records shall be preserved for a period of three (3) years.

7.5 In the event the LESSOR decides to adopt an electronic recording and/or processing system to monitor the sales and operation of the tenants within the MALL, the LESSEE agrees that it shall use or install on the LEASED PREMISES such necessary equipment as maybe required by LESSOR to be connected to the system, and it shall adopt such recording and documentation methods and procedures as shall be compatible with such system. It is understood that the LESSEE shall coordinate with the LESSOR on the selection and installation of any electronic sales recording or processing system, which shall at all times comply with the hardware and software requirements of the system of the LESSOR. In such case, the LESSOR shall require LESSEE to subscribe to a preventive maintenance program to ensure continuous and uninterrupted use of such sales recording equipment. In the event that the system of the LESSOR is upgraded or changed, the LESSEE undertakes to comply with the hardware and software requirements of the upgraded or new system.

7.6 The LESSEE is responsible for the faithful and accurate recording of all transactions. Any willful misrepresentation or dishonesty in the invoicing or registering in the cash register of any transaction by the LESSEE's agent or employee shall be a ground for termination of this lease. Should a breakdown occur in the electronic recording and/or processing system, the LESSEE

7.7 should immediately close sale, and inform the LESSOR's authorized representative in order that remedial measures may be made for continuous operation. During such breakdown, the LESSOR at its option may provide its personnel as invoicer or cashier and the LESSEE shall shoulder the salaries and all related employment costs/benefits of said invoice or cashier. There is and shall be, no employer-employee relationship between the LESSEE, on the one hand, and the employees and personnel of the LESSOR that the latter may assign or deploy to LESSEE to perform the services covered under this provision, on the other hand.

7.8 Fines and penalties for violation of the foregoing shall be imposed by the LESSOR and paid by the LESSEE without prejudice to the provisions of this Contract and to the exercise by the LESSOR of any other right, power, or authority under this Contract and under the applicable law.

8. SECURITY DEPOSIT

8.1 Upon execution of this Contract, the LESSEE shall put up with the LESSOR a Security Deposit in an amount agreed between the parties as stipulated in the FLP, which amount shall be increased with the corresponding rental increase, to serve as security for the full and faithful compliance of each and every term, provision, covenant, and condition of this lease and not as any repayment of rent. The Security Deposit shall remain intact during the entire term of this lease and shall not be applied as payment for any monetary obligations of the LESSEE under this Contract. If the LESSEE should fully and faithfully perform every provision of this lease, including payment of any and all obligations due to the LESSOR, whether arising from this contract or from any other contract / agreements with the LESSOR, the security deposit shall be refunded to the LESSEE after the expiration of the lease term upon the LESSEE's satisfaction of all monetary obligations to the LESSOR and after the LESSEE shall have completely and satisfactorily vacated and delivered the leased premises to the LESSOR.

In the event the LESSEE terminates this Contract or its renewal before the expiry date for whatever reason, or, in case the LESSEE should hold over and remain in possession of the premises after its termination or cancellation without any written renewal of this lease, or for cases of abandonment, or non-operation of the premise, the security deposit shall be automatically forfeited by the LESSEE in favor of the LESSOR.

8.2 The Security Deposit shall not bear interest and shall stand as security for the proper and due performance by the LESSEE of all its obligations hereunder during the subsistence of the lease, as well as to answer for whatever damages or injury that may be caused to the LEASED PREMISES and for water, electric and other utility charges which may remain unpaid upon the termination of this Contract. The security shall be returned to the LESSEE, without interest, only after the expiration of the term of this lease and after the LESSEE shall have completely and satisfactorily vacated and delivered the Leased Premises to the LESSOR, less whatever amounts the LESSEE may owe the LESSOR or which the LESSOR may apply against the security as provided hereunder. It shall be understood, however, that the application of the security against any unpaid obligation of the LESSEE shall be effected only at the termination of the lease. The LESSOR shall, notwithstanding the delivery of the LEASED PREMISES to the LESSOR by the LESSEE, have the right to withhold the security until the LESSOR shall have received statements of account from utility companies supplying telephone, water, electric power or public utility services to the LEASED PREMISES, covering the period ending on the date the LESSEE shall have completely vacated and delivered the LEASED PREMISES to the LESSOR.

The security withheld shall answer for the payment of such statements of account and the balance thereof remaining with the LESSOR after such payment shall be returned to the LESSEE without interest. Likewise, should the LESSEE have any other obligation which remains due and unpaid under any other contract with the LESSOR, the LESSOR shall have the right to apply the amount of these unpaid obligations against the security in settlement thereto upon the termination of the lease. The LESSOR shall have the option to set off the Security Deposit against any unpaid Rent or other amounts due from the LESSEE under this Contract.

9. **ADVANCE RENT**

Upon execution of this Contract, the LESSEE shall put up with the LESSOR an Advance Rent in an amount agreed between the parties as stipulated in the FLP. The advance rent shall be applied to the rental for the first corresponding months of the LEASE PERIOD. In the event that the advance rent is insufficient to pay the rent and other charges or obligations of the LESSEE, the LESSEE shall pay the difference without any delay whatsoever.

10. **CONDUCT OF BUSINESS**

10.1 The LESSEE agrees to operate one hundred percent (100%) of the LEASED PREMISES open for business seven (7) days a week on store hours fixed by the LESSOR unless prohibited by law, court order, ordinance or when custom or religion, business establishments are traditionally closed or unless prevented from doing so by cause(s) beyond LESSEE's control or force majeure or by any other circumstance, event or risk to protect the interest, goodwill and reputation of the LESSOR or the MALL. The LESSEE shall secure the written approval of the LESSOR at least five (5) calendar days in advance if it intends to close the LEASED PREMISES, final approval of which to be determined by the LESSOR if the reason is justifiable.

10.2 Closure or non-operation of **Regular Stores/Inline Shops** for any cause without the prior written consent of the LESSOR, other than force majeure or acts of God, shall be material breach of this Contract and the Lessor shall impose a penalty of **(Php100/sqm/day) One Hundred Pesos per square meter per day** applicable for said unauthorized closure/ non-operation, without prejudice as to any other clauses of action as maybe appropriate and warranted under this contract and the law.

10.3 The LESSEE agrees to notify LESSOR in writing of any change in its operating hours which shall be subject to LESSOR's approval. The LESSOR shall impose a penalty of

Ten Pesos per hour per square meter (Php10.00/hour/sqm) of unexcused late opening and/or early closing of store operations accumulated in a month's time. Computation shall be done cumulatively and portion thereof of thirty (30) minutes shall be computed on a prorata basis if the LESSEE fails to follow official store hours.

10.4 The LESSEE further agrees that it shall maintain at all times upon the LEASED PREMISES sufficient merchandise and adequate number of personnel to serve the patrons thereof, and will employ its best efforts and abilities as may be reasonably necessary to produce the maximum return to LESSOR and LESSEE and help maintain a high business reputation for the MALL.

10.5 The LESSEE shall warehouse, store and/or stock in the LEASED PREMISES only such goods, wares and merchandise as LESSEE intends to offer for sale at retail, at the LEASED PREMISES. This shall not, however, preclude bonafide transfer of merchandise between LESSEE's other stores in the metropolitan area.

10.6 The LESSEE shall keep the display windows and signs, if any, in the LEASED PREMISES well-lighted during such reasonable evening hours as shall time to time be required by the LESSOR, unless prevented by causes beyond the control of the LESSEE.

10.7 The LESSEE shall well and sufficiently preserve, repair and maintain in good, clean, tenantable condition (reasonable wear and tear excepted), at its own cost, the interiors of the LEASED PREMISES, including the flooring, interior plaster or other finishes, doors, windows, cables, conduits, wirings, sockets, electrical installations and plumbing fixtures found in or about the LEASED PREMISES. All windows, glass or plate glass of or in the LEASED PREMISES broken or damaged by the LESSEE due to the fault or negligence of the LESSEE, its guests, customers, employees or agents shall be replaced at the cost of the LESSEE. The LEASED PREMISES and all additions and installations supplied by the LESSOR shall be kept in good clean working condition and repair (reasonable wear and tear excepted). The LESSEE shall provide itself, at its cost and expense, with receptacles to hold and contain waste matter, garbage and refuse; shall keep the same in securely sealed containers and shall dispose of such garbage on a daily basis in the manner prescribed by the LESSOR. It shall keep drains, pipes, sanitary or plumbing apparatus, used exclusively by the LESSEE, its employees, guests, clients or customers in good clean and tenantable condition (reasonable wear and tear excepted) and in accordance with the

requirements imposed by regulations of governmental authorities and the LESSOR. The LESSEE shall pay the LESSOR for all costs in cleaning, repairing or replacing any of the same when found to be blocked or stopped owing to the careless and improper use or neglect thereof by the LESSEE, its employees, clients, customers or guests.

10.8 LESSEE, with prior notice given to the LESSOR, undertakes to make all repairs necessary to keep the LEASED PREMISES suitable for the use to which it is intended during the entire lease period, including but not limited to those arising from structural defects or those causes by LESSEE, its agents, employees or guests. All repairs shall be undertaken by qualified and/or licensed workmen or contractors. LESSEE shall be solely liable for any damages of whatever nature, which may arise due to any of the aforesaid repairs, and thereby holds LESSOR free and harmless from liability in relation to such repairs. Such repairs shall not entitle the LESSEE to any reimbursement or compensation whatsoever, nor shall it be a cause for the reduction of rentals, fees and charges.

11. BUSINESS PERMITS AND COMPLIANCE WITH GOVERNMENT REGULATIONS

11.1 The LESSEE shall secure on its own account all permits, certificates, and licenses as may be required by the national and/or local authorities in connection with its business and the use of the LEASED PREMISES, and copies of the said permits, certificates and licenses or any renewal date thereof, shall be furnished the LESSOR not later than fifteen (15) calendar days from the start of LESSEE's business and every renewal date thereof as required by law. The LESSEE shall comply with any and all supplementary rules and regulations set down by LESSOR and those which may hereafter be promulgated from time to time by LESSOR, and with all the laws, ordinances, rules and regulations, promulgated by the duly constituted authorities of the national and/or local government regarding the use, occupancy, security and sanitation of the LEASED PREMISES. Provided, that all works of temporary character which may be ordained by the national and/or local authorities to be placed or done on the LEASED PREMISES shall be for the account and expense of the LESSEE. In the event that the LESSOR pays the obligations of the LESSEE to the national and/or local authorities to comply with the mandate of the laws, ordinances, rules and regulations, promulgated by the authorities of the national and/or local government on the use, occupancy, security and sanitation of the LEASED PREMISES, the LESSOR shall claim to the LESSEE full reimbursement of the amount it paid including the applicable interest and penalty rates in lieu of delay of payment.

11.2 The LESSEE shall guarantee the faithful compliance with all government laws and regulations particularly the payment of taxes, including but not limited to the withholding tax on rental, the corresponding documentary stamp tax and the Value Added Tax (VAT), if any, on the LEASED PREMISES.

11.3 The LESSEE undertakes to regularly submit to the LESSOR the Bureau of Internal Revenue (BIR) Certification of Withholding Tax Payment pertinent to rentals paid to the LESSOR for the quarter(duly certified by the LESSEE's Accountant) within twenty (20) calendar days after the end of each quarter and to submit to LESSOR proof of LESSEE's payment of documentary stamp tax and Value Added Tax (VAT) within twenty calendar days from date of payment of said taxes. Failure to do so and failure to make any rectification shall be construed as material breach of this Contract of Lease and a ground for termination of this Contract.

12. ADVERTISING AND PROMOTIONS FEE

12.1 In order to promote the business in the Complex where the leased area is located, the LESSOR may conduct from time to time advertising and promotional activities including inaugural activities which it may consider appropriate and the LESSEE agrees to share with all other lessees in the Complex in the costs and expenses of such advertising and promotional activities at a rate or in an amount specified by the LESSOR. The LESSEE agrees to pay the LESSOR: **Twenty Thousand Pesos Per Year (Php20,000.00/Year)** as LESSEE's share in the Advertising and Promotions Fee, which shall be subject to review yearly. The LESSEE's share shall be paid on the date specified in the applicable statement of account.

The LESSEE hereby expressly agrees to participate in all common marketing efforts by the LESSOR. In relation to this, the LESSOR will conduct advertising efforts throughout the year to generate public awareness and patronage of the MALL, available merchandise and services, including business names and logos.

12.2 In keeping with the standards of the MALL and for the purpose of uniformity and beauty, LESSEE shall put up and maintain at its own cost and expense the required business sign(s), the size, color and design of which shall be determined and indicated in writing to LESSOR, the same to be installed at the commencement date of LESSEE's business.

12.3 The LESSEE shall not affix, hang, inscribe or paint any notice, sign, streamer, or other advertising medium within or outside the LEASED PREMISES, without the prior written approval of the LESSOR, which shall not be unreasonably withheld. If so allowed by the LESSOR, the sign or media shall be of such size and style as the LESSOR may determine. Neither shall the LESSEE permit or give consent to any person or entity to affix, inscribe or paint any notice, sign or other advertising media on the LEASED PREMISES or on any part of the Mall, as if said person or entity uses, holds office or is otherwise established at the LEASED PREMISES or any part thereof or the Mall. The LESSOR shall have the right to require the LESSEE to remove any sign which the LESSOR may consider to be inappropriate. Upon failure of the LESSEE to do so, the LESSOR shall summarily remove and/or destroy any such unauthorized sign or
materials which maybe within or outside LEASED PREMISES in violation of this provision without incurring any criminal or civil liability or any liability for reimbursement of costs. The LESSEE shall abide by the policies, rules, and regulations regarding sales promotions as maybe promulgated by the LESSOR or by the government authorities, agencies or instrumentalities.

12.4 LESSEE shall use as its advertised business address, the name and address of CASH & CARRY MALL. The LESSEE's trade name set out in this Contract shall not be changed without the LESSOR's prior written consent. The LESSEE agrees the LESSOR's name or the name of CASH & CARRY MALL shall not be used in any confusing, detrimental or misleading manner. Upon termination of this lease, the LESSEE shall cease to use the LESSOR's name and/or address in any manner.

13. FACILITIES AND UTILITIES

13.1 **INDIVIDUAL SERVICE/UTILITIES** - The LESSEE shall pay or cause to be paid, prior to delinquency, all necessary and applicable charges for water, electricity, air- conditioning or other service or utilities, used, rendered or supplied in connection with the LESSEE's possession of the LEASED PREMISES, together with any assessment of surcharges in respect thereto and except when the same is furnished by the LESSOR, shall contract for the same in its own name and shall protect the LESSOR and the LEASED PREMISES from any other charges. The LESSOR may shut off all utilities to the Leased Premises obtained by or through LESSOR at any time after the LESSEE has failed to pay any sums due to the LESSOR by reason of this contract and after the LESSOR has given the LESSEE proper notice to cure such default or vacate the LEASED PREMISES and the LESSEE has failed to do so. All costs of utilities and services provided by or through the LESSOR shall be allocated to the LESSEE as and in the manner provided for common area operating expenses in the following subsection.

13.2 **COMMON AREAS, FACILITIES AND EXPENSES** - The LESSEE shall pay the LESSOR within the same period for payment of monthly rentals, for the LESSEE'S share in the maintenance and operating costs of the common areas, facilities, utilities or services which the LESSOR shall reasonably determine. However, the said amount will be subject to review and adjustment to reflect actual expenses whenever there is an increase in maintenance cost. The LESSOR shall have the option to allocate such charges as are attributable only to a particular area and the appurtenant tenants thereof in such an equitable manner as the LESSOR deems appropriate, taking into consideration the size of the area served. The term "common areas" shall mean,
though not limited to, the parking areas, access roads, driveways, retaining walls, grounds, landscaped areas, pedestrian walkways, courts, stairs, ramps, corridors and restrooms. For purposes of this subsection, the terms "maintenance and operating costs" shall include, but shall not be limited to the total costs and expenses incurred in operating, insuring, maintaining and repairing the common areas and facilities including without limitation and except where otherwise provided electricity, water, gardening or landscaping maintenance, supplies and
materials, janitorial, sanitary and pest control, trash, rubbish or garbage collection, the cost of employing or contracting personnel to implement such services to direct parking, to police and secure the common areas and facilities, public liability and property damage insurance, security services, traffic services and reasonable administrative and overhead expenses.

During the term of this lease, the LESSEE and all its respective employees, agents, customers and guests shall have the NON-EXCLUSIVE right touse the common areas of the Mall and subject to any rights, powers and privileges reserved to the LESSOR. It is hereby understood that the LESSEE's privilege to use the common area of the Mall is not made an integral part of this lease. Consequently, the use by the LESSEE of such areas may be denied, restricted or regulated by the LESSOR.

During the term of this lease, the LESSOR shall operate, manage and maintain the common areas within the Mall. The manner in which the common areas shall be maintained, operated and managed, and the amounts to be spent for such maintenance, operation and management, shall be subject to the sole discretion of the LESSOR. The LESSOR shall have the right from time to time to promulgate rules and regulations governing the use of the common areas by the lessees of the Mall, their agents, customers and guests, and shall have the right to restrict or deny the use or access to any part of the common areas, to such extent as may be legally sufficient, to prevent a dedication thereof, or the accrual of rights of any person or of the public therein, or for any reason which the LESSOR believes shall redound to the benefit of all or some of the lessees in the Mall.

13.3 The LESSEE shall take steps and precautions at its own cost to prevent the LEASED PREMISES from becoming infested with termites, rats, mice, cockroaches or other pests or vermin. For this purpose, the LESSOR may utilize the service of a pest control agency or contractor to provide pest control services for the LEASED PREMISES. Provided, that the LESSOR is entitled to claim reimbursement from the LESSEE the costs of pest control service.

13.4 For LESSEE's electricity and water requirements, the LESSOR shall install and secure One (1) MAIN METER with the corresponding utility providers. Based on LESSEE's actual electric reading and water consumption, The LESSEE shall pay to the LESSOR its monthly electric and water consumption on or before the due date as reflected on the monthly statement of account. Should LESSEE fail to pay any bill, the LESSOR shall have the right to discontinue the supply of the electric current and/or water supply to the LESSEE, in addition to interest and penalty for any arrears incurred until fully paid. The LESSEE is absolutely prohibited from redistributing electric current and/or water supply to other LESSEE. All adjustment in the electric load requirements of LESSEE must be with prior written approval of LESSOR.

14. PARKING AND OTHER JOINT USE AREAS

14.1 The LESSOR hereby grants the LESSEE a non-exclusive privilege to use the parking areas and other portions of the MALL dedicated to Receiving and Dispatching Unit (RDU). The right to use said spaces by the LESSEE, its employees and clients or customers is not an integral part of the LEASED PREMISES and it may be restricted or regulated by the LESSOR at its own discretion. Such use shall be subject to the restrictions and regulations and such other conditions that may be promulgated from time to time by the LESSOR.

14.2 Vehicles owned or used by the LESSEE, its employees, guests, customers or clients may be parked in any of the common areas designated for parking within the Mall, subject to the payment of fees or charges assessed by the LESSOR for such use. Delivery vans, trucks or vehicles owned or used by the LESSEE, LESSEE's suppliers or other third person/s for the purpose of delivering any merchandise or commodity to the LESSEE shall not be allowed to park in common areas designated for parking at any given time nor along any road in the Mall but shall be for the purpose specified above, use the area of the Mall designated for by the LESSOR as a service area. At no time shall the LESSEE allow its business operations or activities to obstruct free ingress and egress to and from the common areas or obstruct any road in the Mall.

The LESSEE, its employees, guests, customers or clients who use the common areas designated for parking within the Mall may be charged parking fees at the same rates charged to the general public. The LESSEE recognizes the absolute discretion of the LESSOR to fix the amount of the parking fees to be charged for the use of such parking areas.

14.3 The LESSOR may, if funds are needed for major improvements in existing parking areas and/or the construction of new installations for parking purposes such as covered parking stalls, collect parking fees from the general public, either by meter or some other reasonable basis as may be determined by the LESSOR.

14.4 The LESSOR reserves the right at any time relocate driveways, entrances and exits common to the MALL, change the boundaries or location of the various automobile parking areas, diminish or rearrange the parking patterns therein, add additional or elevated parking spaces, close existing areas designated for parking and establish new areas for parking in different locations, construct, install or make such improvements as it shall deem fit in common areas or effect alterations of existing improvements, or limit the use of certain portions of the common areas by employees, guests, customers or clients or certain lessees of the Mall as the LESSOR shall determine, including the use of such areas for parking.

14.5 The LESSOR shall have the sole and exclusive jurisdiction and the right to police, control traffic, regulate and promulgate reasonable rules and regulations governing the use of the parking areas, private roads, sidewalks, common driveways, entrances, exits and other common use areas not included within the boundaries of the LEASED PREMISES.

15. PROHIBITIONS

In addition to the restrictions imposed by the Provisions of **ADEBE REALTY COMPANY INCORPORATED / CASH & CARRY MALL HOUSE RULES** marked as **ANNEX D** hereof and made an integral part of this contract, the LESSEE is subject to the following prohibitions and restrictions:

a) The LESSEE agrees that it will not do or permit to be done in or about the LEASED PREMISES anything or any act which will be illegal or unlawful, or which will be dangerous to life, limb or property or any act, event or circumstance which in the opinion of the LESSOR may affect, damage, impair or prejudice the goodwill, reputation, interest or name of the LESSOR or the MALL;

(b) LESSEE shall not permit, allow or cause any public or private auction sales or adopt or use any sales promotion devices or practices which shall tend to mislead or deceive the public or which directly or indirectly tend to mislead or deceive the public or which directly or indirectly would tend to detract from or impair the reputation or dignity of said business and consequently the prestige and good reputation of the MALL.

(c) Except apparatus, machinery or equipment necessary in the operations of the LESSEE, the LESSEE shall not bring into or store in the LEASED PREMISES anything highly inflammable or explosive in nature or any apparatus, machinery or equipment

which may cause obnoxious odors, tremors or noises or which may expose the LEASED PREMISES to fire or increase the fire hazard of the building or insurance rate or article which the LESSOR may reasonably prohibit. It is understood that should the LESSEE do so, not only shall the LESSEE be responsible for all damages which the said violation may cause to the LESSOR and/or its tenants, but the LESSOR shall, in addition thereto, have the right to cancel this contract and immediately charge to the LESSEE for any increase in the rate of insurance premiums payable by the LESSOR on the entire building due to the violation committed by LESSEE. The

LESSEE shall not permit or suffer to be permitted any music or noise to emanate from the LEASED PREMISES which in the reasonable opinion of the LESSOR may constitute a nuisance or annoyance or give cause for reasonable complaint from the LESSOR or other lessees. Neither shall it permit any odor or noxious smell which is in the sole opinion of the LESSOR offensive or unusual, to emanate from the LEASED PREMISES, nor keep or suffer to be kept any animals or pets inside the LEASED PREMISES.

(d) The LESSEE shall not make any alteration, addition or improvement within the LEASED PREMISES or in any of the common areas or effect the installation of any fixture required by the conduct of its business, without the prior written consent of the LESSOR and subject to such terms and conditions as may be imposed by the LESSOR as it deems fit. All alterations, additions or improvements made by the LESSEE as well as any alteration, improvement, addition or installation in or on the LEASED PREMISES shall be done in good workmanlike fashion and at the LESSEE's cost. All building, architectural, engineering, conceptual plans and specifications for any alterations, additions or improvements shall be submitted to the LESSOR for its approval at least seven (7) days prior to the commencement of work on any such

alteration, addition or improvement. The LESSOR reserves the right to require the LESSEE to use the LESSOR's building contractor for any renovation of the LEASED PREMISES when in the LESSOR's best judgment, the proposed renovation may adversely affect any of the warranties or guarantees given by any of the contractors of the Mall. The approval by the LESSOR of such alterations, additions or improvements shall in no event relieve the LESSEE from the responsibility of obtaining all the necessary permits and licenses pertaining to such alterations, additions, improvements or installations or from paying the necessary taxes, insurance premium or fees as shall be necessary or appropriate in connection therewith. The LESSEE shall give all the notices required and shall comply with all ordinances, rules and regulations issued by governmental agencies and public utility companies having jurisdiction over the same.

Any such alterations, additions or improvements made by the LESSEE, as well as any alteration, improvement or installation placed in or on the LEASED PREMISES by the LESSOR, except movable furniture and fixtures placed in the LEASED PREMISES at the expense of the LESSEE and removable without defacing or injuring any ceiling, floor, wall or any portion of the Mall or the LEASED PREMISES, shall become the property of the LESSOR at the expiry or termination of this lease, and shall remain upon and be surrendered with the LEASED PREMISES as part thereof without compensation for their value to the LESSEE.

(e) The LESSEE shall not make, permit or suffer any act, installation, alteration or addition to be made or done in or on the common areas, LEASED PREMISES or any part of the Mall which may cause damage thereof, including without limitation, any cutting, maiming, marking, defacing or drilling into or of any part of the Mall, LEASED PREMISES or common areas.

(f) The LESSEE shall not install or place any load, apparatus, equipment, article or thing in any part of the LEASED PREMISES, the weight or location of which in the Leased

Premises will violate the maximum load limitation for the LEASED PREMISES as determined by the LESSOR. For this purpose, the LESSEE shall obtain the prior written approval of the LESSOR for the entry and/or removal of any load, apparatus, equipment, article or thing into and from the LEASED PREMISES. The LESSEE shall also comply with the requirements imposed by the LESSOR for keeping such equipment, load or apparatus within the LEASED PREMISES, including the use of supports of such dimension and material to distribute the weight of such equipment load or apparatus as the LESSOR may deem necessary. The LESSEE shall not permit, suffer or cause any act to be done whereby the maximum allowable voltage capacity of the LEASED PREMISES shall be exceeded.

(g) The LESSEE shall not use, cause or permit the use of the LEASED PREMISES or common areas in any improper manner for any purpose other than that for which they are respectively intended. Without limiting the generality of the foregoing, the LESSEE shall not use or permit the LEASED PREMISES or common areas to be used as sleeping quarters or domestic premises or allow any person to remain in the LEASED PREMISES overnight, nor allow the LEASED PREMISES or the common areas to be used for drying laundry, hanging or storing any article or thing thereon. The common areas shall not be used for loitering or eating. The LESSEE shall not allow the LEASED PREMISES or common areas to be used by any person for canvassing, peddling, touting or soliciting for business or distributing any booklet, pamphlet and advertising material or for any illegal or immoral purpose, or in any manner which may provide basis for the imposition of a fine, forfeiture or penalty against the LESSOR under the applicable law.

Neither shall the LEASED PREMISES be used for the manufacture or storage of goods, articles or things, other than storage of goods for the purpose of and in quantities consistent with the LESSEE's business as carried on at the LEASED PREMISES, or keep, store or permit or suffer to be kept and stored any dangerous goods or other explosive or hazardous substance. No auction, fire, bankruptcy, close-down or similar sales of a retail business nor any other unethical type of business operation shall be conducted in the LEASED PREMISES.

The sidewalks, entries, passages and corridors of the Mall shall not be obstructed or used by the LESSEE for any purpose other than for ingress and egress from the Mall. No disturbing, noisy or improper activities shall be allowed to be carried therein or thereon, using loud speakers, television, phonographs, radios or other devices which will be in any manner audible or visible outside the LEASED PREMISES without the prior written consent of the LESSOR. In no instance

shall the LESSEE place boxes, cartons, packages, dust bins, garbage cans, furniture or chattels in the common areas, which should be kept free and clear of all obstructions at all times. For

purposes hereof, the LESSOR shall, in addition to its other remedies as provided or in law, be entitled without notice and at the LESSEE's expense, to remove, store or dispose of any such obstruction as the LESSOR shall see fit, without incurring any liability to the LESSEE. The LESSEE shall on demand pay or reimburse the LESSOR for all the expenses incurred in such removal or storage.

(h) The LESSEE shall not load and unload cargoes, goods, articles or things outside such hours and only through such entrances and routes as may be determined by the LESSOR from time to time.

16. INDEMNITIES / NON-LIABILITY

The LESSEE shall indemnify and hold the LESSOR free and harmless from any claim or demand by third persons for any injury, loss or damage, including claims for property damage resulting from any accident on the LEASED PREMISES, or by any fire hereon on growing out of or caused by any failure on the part of the LESSEE to maintain the LEASED PREMISES in a safe, sanitary and secure condition or by reason of the LESSEE's violation,
non-observance or non-performance of the rules, regulations, ordinances, laws and other conditions of this contract concerning or affecting the LEASED PREMISES or the improvements thereon.

The LESSOR shall not be held liable or responsible in any circumstance, whether tortious or otherwise, for any injury, damage or disturbance suffered (whether directly or indirectly) or caused to the person or property of the LESSEE (whether personally or in respect of the LEASED PREMISES) or to the person or property of any of its employees, clients, customers or any other persons whosoever while remaining either casual or on business in any part of the LEASED PREMISES and further binds itself to hold the LESSOR free and harmless from any such claim for injury or damage.

The LESSOR shall not be held liable for the security or safekeeping of the LEASED PREMISES or any person or property found therein, including without limitation all furniture, fixtures, fittings, goods, chattels, samples, personal effects, contents or articles delivered to or left in the LEASED PREMISES.

The LESSOR shall not be liable also for any loss or damage to the LESSEE's properties, equipment, and effects sustained within the LEASED PREMISES, caused by, but not limited to the following:

a) The presence or any activity of bugs, cockroaches, vermin, ants, termites and other insects in the LEASED PREMISES or Mall;
b) Failure, quality, inadequacy, fluctuation interruption, malfunction, explosion or suspension of electricity, water, telephone, telex, facsimile, emergency power or other public utility services supplied to or intended for the LEASED PREMISES or Mall;
c) Any escape of fumes, smoke, other substances or fire due to faulty electrical wirings, fuses, installations, etc., within the LEASED PREMISES or Mall;
d) Any seepage, overflow or leakage of water from any pipe, drain or automatic sprinkler system or any part within the LEASED PREMISES or Mall or the influx of rain water into the LEASED PREMISES or the Mall;
e) Destruction or clogging of any cistern tank, washstand, water closet, waste or soil pipe in the LEASED PREMISES or Mall;
f) Leakage of water from the roof or any part of the LEASED PREMISES or Mall due to rain, typhoon, flood and the elements;
g) Loss due to robbery, theft or other similar crimes in the LEASED PREMISES or within the Mall;
h) Any act, neglect or default of the LESSEE or other lessees of the Mall or of adjoining neighboring premises, or any of their respective employees, clients, guests or customers;
i) Any failure or breakage of glass of or in the LEASED PREMISES or the Mall;
j) Any defect, mechanical breakdown, failure or need for repair, overhaul or any negligent or improper working or operation by any person whomever, of the facilities provided for the common use of the lessees of the Mall or for the LESSEE in respect of the LEASED PREMISES;
k) Force Majeure;
l) Any defective or damaged condition of the LEASED PREMISES or Mall;
m) Any escape of electric current from electric wiring or cable situated upon or in any way connected with the LEASED PREMISES, Mall or any part thereof, or any vibration from or of any part of the LEASED PREMISES, Mall or adjoining or neighboring premises
n) Any violation of the provisions hereof or the rules and regulations adopted by the LESSOR or by any appropriate government agency in connection of the possession and maintenance of the LEASED PREMISES by the LESSEE and the conduct of business operations therein.

The LESSEE shall indemnify and keep the LESSOR fully indemnified against all claims, demands, actions and proceedings whatsoever made against the LESSOR by any person whomsoever arising as a result of or in connection with any loss, damage or injury which the LESSOR shall not be responsible for and against all costs and expenses incurred by the LESSOR in respect of such claims, actions or demands. The LESSEE shall also be responsible for any loss or damage which may be done to the LEASED PREMISES or any part thereof or to common areas or to any part of the Mall, due to the fault or negligence of the LESSEE, its employees, customers, clients or guests.

In no event shall the payment of any amount due hereunder whether as rent, common area charges, utility charges, etc. abate or cease to be payable on account of the occurrence of any of the causes specified above or except to the extent permitted by the LESSOR.

17. SUBLEASE AND TRANSFER OF RIGHTS

17.1 The LESSEE shall not directly or indirectly assign, sublease, sell, transfer, convey, mortgage, or in any manner dispose of or encumber its rights under this Contract in whole or in part or any interest there to be conferred on anyone or enter into any arrangement whereby the use or possession of any part of the LEASED PREMISES is transferred to any person, irrespective of whether rental or other consideration is given therefore. No right, title or interest to, in and under this Contract or the LEASED PREMISES shall be deemed conferred or vested other than the LESSEE, to the extent specified herein.

17.2 The LESSEE hereby declares and acknowledged that it possesses no goodwill, patronage or incentive rights over the LEASED PREMISES, and that such rights exclusively belong to LESSOR and are inherent in the LEASED PREMISES, and such LESSEE has no right to sell, transfer, assign, encumber, nor mortgage such goodwill to another person, it being recognized that such rights exclusively belong to the LESSOR as owner of the LEASED PREMISES.

17.3 The provisions of this Section notwithstanding, the LESSOR reserves the right to assign, sell, transfer, convey, mortgage or encumber its rights to this lease to any affiliate or subsidiary, or to any other party the LEASED PREMISES during the term of this lease without the written consent/approval of the LESSEE. In the event of such transfer, assignment or encumbrance, the rights and interests of the LESSEE under this Contract shall be respected and observed in its entirety by such assignee, transferee or mortgagee, and for the entire term hereof unless otherwise mutually agreed upon by the parties including the LESSEE.

18. INSURANCE

18.1 The LESSEE shall secure, at its own expense, and during the entire term of this Contract, an insurance coverage for its improvements, merchandise and all other properties inside the LEASED PREMISES against fire, typhoon, flood, earthquake, lightning and/or other perils, including adequate public utilities insurance, with an insurance company approved by the LESSOR and shall furnish the LESSOR copies hereof and every renewal or extension thereof.

18.2 The LESSEE must submit to the LESSOR a list of items covered by the insurance to be procured for purposes of reference and guidance on the part of the LESSOR and it is hereby agreed that the LESSEE shall not take insurance over its properties in an amount more than the cost or value of the insured items. The LESSEE shall deliver to the LESSOR copies of the insurance policy/ies procured within thirty (30) days from the date of turn-over of the LEASED PREMISES to the LESSEE.

18.3 The LESSOR shall not be liable for any damages or violations attributable to the LESSEE, its agents, employees, representatives, customers, or guests on the LEASED PREMISES insofar as any breach of this provision on insurance is concerned.

18.4 The LESSEE shall not use the LEASED PREMISES, the Mall or any part thereof in any manner which will cause insurance policies of the LEASED PREMISES or the Mall against loss or damaged caused by fire, storm, typhoon or other insurable perils and/or claims by third parties to be rendered void and voidable, or whereby the premium due thereon may be increased; provided that, if as a result of any act, deed, matter or thing done or permitted by the LESSEE, the premium on any such insurance policy is increased, the LESSOR shall be entitled, without prejudice to any other remedy hereunder, to recover from the LESSEE the amount of such increase and shall be indemnified by the LESSEE against all claims, losses, damages or claims sustained or made against the LESSOR by any person as a result of a breach of this provision.

19. CALAMITY/DAMAGE TO OR DESTRUCTION OF PREMISES

19.1 If during the lease period, portion of the LEASED PREMISES or improvements placed by the LESSEE shall be partially or damaged or destroyed, whether by any cause covered or not covered by an insurance, LESSEE shall at LESSEE's exclusive expense immediately repair, restore or reconstruct or cause to be repaired, restored or reconstructed said damage or destroyed improvements to the conditions thereof immediately prior to such damage or destruction. The failure of the LESSEE to complete the repair, reconstruction or restoration to its original condition within sixty (60) calendar days from date of destruction shall be a material breach of this contract which will entitle the LESSOR to terminate this lease and recover from the LESSEE any amount, cost and expense for the repair, restoration or reconstruction of any damaged or destroyed improvements.

19.2 In the event that (a) the damage resulting from force majeure renders the LEASED PREMISES totally unfit for use or occupation for more than sixty (60) days, or (b) the repairs required to render the LEASED PREMISES fit for use and occupation are excepted to last for more than ninety (90) days, or (c) force majeure prevents any party from conducting its business or interfered with the operations of the Mall for a period of more than sixty (60) days, then either party shall have the right to rescind this Contract by written notice sent to the other party without need of any judicial action at least five (5) business days after the lapse of the applicable period. The rescission of this Contract shall be without prejudice to the rights and remedies of either party against the other in respect to any claim or liability antecedent to such rescission. The obligation to pay rent and other charges or amounts due hereunder shall continue to be in full force until the date of such rescission is effected.

In the event, however, that (a) the damage resulting from force majeure renders the LEASED PREMISES unfit for use or occupation for sixty (60) days or less, or (b) the repairs required to render the LEASED PREMISES fit for use and occupation are excepted to last for ninety (90) days or less, or (c) force majeure prevents any party from conducting its business or interfered with the operations of the Mall for a period of sixty (60) days or less, or (d) either party fails to exercise the option to rescind this Contract, then the rent due to the LESSOR shall be reduced in proportion to the period the LESSEE has not been able to use the LEASED PREMISES. Notwithstanding such proportionate reduction, all the other obligations of the LESSEE as provided hereunder
shall remain in full force and effect. In no case shall any compensation or claim be allowed against the LESSOR by reason of the interruption, annoyance or injury caused to the LESSEE or its property arising from the rescission of this Contract, or any interruption in the use or possession of the LEASED PREMISES, or the repair of any portion of the Mall or the LEASED PREMISES.

Notwithstanding the above provisions, if the LEASED PREMISES or the Mall is damaged by fire or other casualty due to the fault or negligence of the LESSEE or its servants, employee, agents, licensees, clients or customers such shall be considered a breach of this agreement by the LESSEE and without prejudice to any other rights, remedies or cause(s) or action the LESSOR may have against the LESSEE, the LESSOR may opt to repair damage chargeable to the account of LESSEE, but the latter in any case shall be liable to pay the rent.

20. EXPROPRIATION AND CONDEMNATION

If at any time during the term of this lease, the Government or any of its instrumentalities or political subdivision or any public service company, shall expropriate or condemn the LEASED PREMISES, Mall or any part thereof or interest therein for any public use or purpose, then and in every case the LESSEE shall whenever requested by the LESSOR, deliver and surrender peaceful possession of the LEASED PREMISES to the LESSOR as may be affected or taken by such expropriation. In case of such expropriation, the LESSEE hereby unconditionally relieves and releases the LESSOR from any and all liability under this Contract in connection with or arising out of such expropriation proceedings and agrees that the compensation to be received by the LESSOR shall belong to it wholly as owner of the LEASED PREMISES, without prejudice to whatever recourse the LESSEE may have against the expropriating entity on account of damage done or caused to it or its properties by reason of such expropriation.

21. RIGHT OF ENTRY

21.1 The LESSOR or its representatives shall have the right to enter the LEASED PREMISES at all times in order to examine it, to show it to prospective tenants or lessees, or to make such decorations, repairs, alterations, improvements, or additions as the LESSOR may deem necessary or desirable. Further, the LESSEE shall permit the LESSOR, public utility companies and their authorized representatives at reasonable times to enter the LEASED PREMISES for the purpose of undertaking the repair and maintenance of utilities, facilities and other structural elements used or shared in common by the LESSEE with the other lessees of the Mall, inspecting the condition of the LEASED PREMISES or for determining the LESSEE's compliance with this Contract. The LESSOR shall be entitled without incurring any liability whatsoever, in the event of an emergency to enter the LEASED PREMISES as the LESSEE's attorney-in-fact, to undertake the necessary repairs or conduct the inspection thereof for the protection of the LEASED PREMISES and the Mall.

21.2 The LESSOR shall be allowed to take all materials into and upon the LEASED PREMISES that may be required therefore.

21.3 During the last three (3) months prior to the expiration of the term of this lease or any renewal term thereof, the LESSOR may advertise that the LEASED PREMISES is available for lease. During such period, the LESSOR may exhibit, where it shall think fit, a notice offering the LEASED PREMISES for lease, which the LESSEE shall not conceal in anyway.

21.4 If during the last day of the lease term, the LESSEE shall have removed all or substantially all of the LESSEE's property therefrom, the LESSOR may immediately enter and alter, renovate and redecorate the LEASED PREMISES without reduction of rent and without liability to the LESSEE for any compensation and such act shall have no effect upon this lease.

21.5 If the LESSEE is not personally present to open and permit an entry into the LEASED PREMISES at any time when for any reason an entry therein shall be necessary or permissible, the LESSOR or its representatives may enter the LEASED PREMISES without rendering the LESSOR or its representatives liable therefrom, and without in any manner affecting the obligations and covenants of the LESSEE under this lease.

21.6 The LESSOR's right of entry shall not be deemed to impose upon the LESSOR any obligations, responsibility, liability for the care, supervision, repair of the LEASED PREMISES other than as therein otherwise provided.

21.7 The entry or inspection shall be done in coordination with LESSEE's representatives and shall be conducted during reasonable hours in a manner that will least affect the operations.

22. STRIKES AND LOCK-OUTS

In the event that a picket line is established in the LEASED PREMISES or in the vicinity thereof due to a labor dispute involving the LESSEE or arising in any way from the conduct of the LESSEE's business, the LESSOR, in its sole discretion and by written notice, may require the LESSEE to pay for any additional cost the LESSOR may incur in hiring additional security guards, maintaining the cleanliness of the LEASED PREMISES and the Mall or in contracting for such other services as may be required for the well being, security and welfare of the other lessees in the Mall. In the event that the LESSEE is prevented from conducting its business in the LEASED PREMISES due to a strike, lockout, labor dispute or any other analogous activity involving the LESSOR or other lessees, or due to an accident or cause beyond the control of the LESSOR, the LESSEE hereby unconditionally relieves and releases the LESSOR from any and all liabilities in connection with or arising out of such occurrence(s). In case there is a strike, lock-out or other labor dispute in the LEASED PREMISES and there is a substantial interference with the operation of the LESSEE's business by reason thereof requiring the LESSEE to temporary close its business to the public or if as a result thereof the business of other lessees or tenants in the MALL are likewise affected, then the LESSOR shall have the option to terminate this lease to protect its business and the business of other lessees or tenants.

23. TERMINATION OF LEASE

The LESSEE hereby agrees that all the provisions contained in this Contract shall be deemed as conditions and covenants and that LESSOR shall have the right to terminate and cancel this Contract, without resorting to court action, should the LESSEE violate any or all of said terms and conditions, including, but not limited to the following:

a) The term (or renewal) of this lease shall have expired, or the LESSEE shall have failed to return and surrender the LEASED PREMISES in accordance with the provisions of this Contract;
b) The LEASED PREMISES shall be closed, deserted or unoccupied for a continuous period of fifteen (15) calendar days without the written consent of the LESSOR;
c) The LESSEE shall fail to pay the rent or any other amount due hereunder on the date specified herein for payment or fail to reimburse LESSOR for advances or payments made for and on behalf of the LESSEE;
d) Any of LESSEE's representations and warranties shall prove false in any material respect when made;
e) Use of the LEASED PREMISES for any purpose other than as herein agreed upon or approved by LESSOR including the selling of items not included in the approved list of items to be sold;
f) The LESSEE fails to observe or perform any of the covenants provided hereunder or violates the house rules or subsequent memorandum and issuances of the LESSOR;
g) Strikes, pickets and lockouts;
h) The LESSEE (if the latter is a natural person) shall have died or the corporate existence of the LESSEE (when organized as corporation or partnership) shall have ceased;
i) The principal stockholder(s) or owner(s) of the LESSEE (when organized as a corporation or partnership) on the date hereof or during the term of this Contract shall have changed or shall have ceased to own or control a majority of shares of interest in the LESSEE,
j) whether through voluntary disposition, merger, consolidation, restructuring, bankruptcy, liquidation or otherwise, and the new principal stockholder(s) or owner(s) controlling the LESSEE shall not be acceptable to the LESSOR, or the LESSOR shall be unwilling to continue the lease with the LESSEE, as owned or controlled by such new stockholder(s) or owner(s) for any reason;
k) The LESSEE shall become insolvent or be unable to pay its debts when due or shall commit or permit any act of bankruptcy under the applicable law;
l) If the LESSEE passes a resolution of winding-up or have a petition for winding- up presented against or if a receiver shall be appointed of the whole or part of the assets, properties or undertakings of the LESSEE or shall compound with or enter into any composition with its creditors;
m) If the LESSEE do or suffer any act or thing or omits to do or suffer any act or thing, in consequence of which the LEASED PREMISES or the properties of the LESSEE may, are or are likely to be involved, dis trained, endangered, attached or taken execution under any legal process or by any public authority;
n) If any judgment or order against the LESSEE or SUBLESSEE shall remain unsatisfied for more than seven (7) days;
o) Failure of LESSEE to obtain all necessary licenses, permissions, etc., for the construction, repair, use, occupancy, security, sanitation and operation of the LEASED PREMISES and violates the terms and conditions of such licenses, permissions, laws, rules, regulations or ordinance of any local, national or statutory authority for the time being in force;
p) Failure of LESSEE to rectify or to stop any and all violations of any of the policies and guidelines duly promulgated and issued by LESSOR upon demand to so from LESSOR;
q) The occurrence of any other event which entitles the LESSOR to exercise its right to cancel or terminate this lease pursuant to other provisions in this Contract and Annexes.

In case of termination or non-extension of the term of this Contract of lease, the LESSEE agrees to return and surrender the LEASED PREMISES on the expiration of the term of this Contract of Lease or date of termination without any delay whatsoever in the same condition as it was found at the commencement of this lease (reasonable wear and tear excepted), devoid of all occupants, furniture, machinery, equipment, signage, articles andeffects of any kind, other than the alterations, additions or improvements which pertain to the LESSOR. It is expressly understood that all other permanent improvements and fixtures not removable without defacing or damaging the premises as determined by the LESSOR shall automatically be owned by it and be surrendered with the premises in good condition without compensation to the LESSEE. The LESSEE shall repair any damage caused to the LEASED PREMISES which cannot be accounted for by reasonable wear and tear and restore the LEASED

PREMISES to the condition it was found at the commencement of this lease to the satisfaction of the LESSOR. All keys giving access to all parts of the LEASED PREMISES shall be returned to the LESSOR, and all expenses incurred in removing from the LEASED PREMISES or Mall, the names, posters, signboards, decoration or advertising matters relating to the LESSEE, including any damage caused by such removal, shall be for the account of the LESSEE. If the LEASED PREMISES is not surrendered on the expiration of the term of the Contract of Lease or date of termination, or any extension thereof, the LESSEE shall be responsible and indemnify the LESSOR for all the damages which the latter may suffer on account thereof.

24. BREACH OF CONTRACT

The parties hereby agree that all the provisions contained herein are conditions and covenants binding between the parties herein and should the LESSEE violate any or all said conditions, including the nonpayment of lease rentals, CUSA charges, charges for utilities and maintenance fees for the LEASED PREMISES and common areas, the LESSOR may consider this Contract as automatically cancelled or of no further force or effect.

Upon the occurrence of any of the events mentioned in paragraph 23 hereof or in case of breach of any term or condition of this Contract, the LESSOR shall be entitled to exercise any of the remedies under this contract or law, whether alternatively or cumulatively, in conjunction with or separately, at its discretion.

The LESSEE shall be responsible for all damages which the LESSOR may incur by reason thereof and to that end, the LESSOR, its authorized agent, employees and/or representatives is hereby appointed the attorney-in-fact of the LESSEE, with full power and authority to open, enter, occupy, padlock, secure, enclose, fence the LEASED PREMISES including the improvements, inventories or stock-in-trade found therein to answer for any unpaid rent, penalty, damages or any outstanding obligation, without the necessity of resorting to any court action the LESSEE hereby waiving any cause of action, civil or criminal against the LESSOR, and/or discontinue the supply of public utilities and services to the LEASED PREMISES, or otherwise take full and complete physical possession and control of the LEASED PREMISES; assume ownership and take full control and possession of all alterations, additions, improvements or installations placed in or on the LEASED PREMISES; and to make an inventory and take possession of whatever equipment, furniture, articles, merchandise, appliances and fixtures found or located in the LEASED PREMISES for the purpose of liquidating the LESSEE's liabilities with the LESSOR. By such appointment, the LESSOR is hereby empowered by the LESSEE to place any of the same in storage and charge the LESSEE the corresponding storage fees therefor and in case the LESSEE fails to pay any amount due and owing to LESSOR or claim said equipment, furniture, articles or merchandise from storage and liquidate any liability to the LESSOR within thirty (30) days from the date the LESSOR takes possession of the LEASED PREMISES or of the LESSEE's personal properties, to sell or dispose said properties and to apply any proceeds thereof to the payment of any liability and/or indebtedness due to the LESSOR from the LESSEE, including reasonable expenses incurred by the LESSOR in connection with such sale, without prejudice to the right of the LESSOR to collect the deficiency, if any. The appointment of the LESSOR as attorney-in-fact is considered coupled with interest, and hence is irrevocable.

The LESSOR shall be entitled to collect from the LESSEE, and the LESSEE shall continue to be liable for, the rental of the unexpired portion of the lease term and the penalty and interest charges due thereon (as applicable). The entire security constituted under this Contract shall be forfeited in favor of the LESSOR, and the LESSEE shall continue to be liable for the amounts which shall de due from it as provided hereunder. All these amounts shall be due to the LESSOR in addition to whatever damages, whether actual or consequential, the LESSOR may have suffered or incurred from the termination of this Contract. In no case, shall any amount due hereunder from the LESSEE be applied against the security deposit provided by the LESSEE, it being understood that the entire amount thereof shall accrue by virtue of forfeiture in favor of the LESSOR.

The LESSEE further agrees that any and all acts of the LESSOR, its authorized representatives or employees, agents or assigns done or caused to be done pursuant to any provision of this Contract, may not be the subject of any Temporary Restraining Order or any petition for the issuance of a writ of preliminary injunction in court and that the LESSOR or its authorized representatives or employees shall be free and harmless from and/or be fully indemnified by the LESSEE against any and all claims, demands, actions whether civil or criminal,, demands, liabilities or responsibilities whatsoever arising as a result of or in connection with any loss, damage or injury to the person or property suffered by the

LESSEE, any of its employees, clients, customers or any other persons whosoever and against all costs and expenses incurred by the LESSOR in respect of such claims, actions, demands, liabilities or responsibilities. The LESSEE shall also be responsible for any loss or damage which may be done to the Leased Premises or any part thereof or to Common Areas or to any part of the Mall, due to the fault or negligence of the LESSEE, its employees, customers, clients, suppliers or guests.

Should LESSOR be compelled to seek judicial relief against the LESSEE or shall find it necessary to take possession of the LEASED PREMISES upon the termination or expiration of this Contract, the LESSEE shall, in addition to any other damages that may be awarded to the LESSOR, pay LESSOR a penalty in the amount equivalent to twenty five percent (25%) of the amount claimed by the LESSOR.

The LESSOR reserves the right to terminate the Contract should the LESSEE perform any act covered herein or against the will of the LESSOR, the LESSOR being free from any claim or liability whatsoever by reason thereof.

25. ABANDONMENT OF LEASED PREMISES

25.1 If the LESSEE shall abandon or vacate the LEASED PREMISES for a continuous period of fifteen (15) calendar days at any time during the term of this lease, without the LESSOR's prior written consent, the LESSOR may upon five (5) days written notice to the LESSEE, or upon written notice posted at the LEASED PREMISES for the same period, lease out the LEASED PREMISES to other persons or entities; and in any event, the LESSEE shall continue to be liable for the monthly fixed rent for the period of and during LESSEE's abandonment if despite notice to remedy the situation no action is taken. The LESSOR shall further forfeit in its favor, the deposit made by way of damages.

25.2 Likewise, the LESSOR shall have the right to enter and take possession of the LEASED PREMISES, without need of resorting to any court action, hold, take custody, impound and remove such possessions and belongings of the LESSEE found therein at the expense of the LESSEE, after conducting an inventory of the same in the presence of witnesses, until all the rentals, interests, penalties, unpaid utility bills, damages or other amounts due to the LESSOR has been fully settled by the LESSEE. All these acts being hereby agreed to by the LESSEE as tantamount to his voluntary vacation of the LEASED PREMISES without necessity of suit in court and authorizing LESSOR to use
all necessary and reasonable force to break open doors and to enter the premises and take actual possession thereof, and such entry and use of reasonable force should not be regarded as trespass, nor be sued as such, or in any wise be considered as unlawful.

25.3 The LESSOR shall have the right to retain said properties for thirty (30) days as security for the payment of LESSEE's obligations under this contract, which properties the LESSOR may dispose or sell after the lapse of said period and apply the net proceeds thereof to LESSEE's unpaid obligations including all expenses for the sale and storage without prejudice to any action as may be appropriate for the recovery of any deficiency or other damages provided on this Contract of Lease.

26. NON-WAIVER

26.1 The failure on the LESSOR's part to insist in one or more instances upon the strict performance of any of the covenants and conditions of this lease, or to exercise any right or option therein contained, shall not be construed as a waiver of covenant, condition or option, but the same shall continue in full force and effect.

26.2 The subsequent acceptance by the LESSOR of arrears in rent or extension of time of payment shall not be deemed a waiver by the LESSOR of any breach by the LESSEE of any other covenant or condition therein.

26.3 Silence on the part of the LESSOR shall not be considered as condonation or waive of any breach or default by the LESSEE of any covenant or condition herein provide.

26.4 No waiver shall be deemed to have been made by the LESSOR unless expressed in writing and signed by the duly authorized representative of the LESSOR.

27. DEFAULT

27.1 Default shall automatically take place upon the failure of the LESSEE to pay or perform its obligations during the time fixed therein for such obligation without necessity of notice or demand. For purposes of default where demand or notice is required of the LESSOR, the parties hereby expressly agree that notice addressed to the LESSEE delivered at its address in the LEASED PREMISES or in its last known address shall be considered sufficient compliance of notice or demand.

27.2 In the event of default or breach, non-performance or no-observance, of any of the terms and conditions of this contract, or even without such breach or default, if the LESSEE shall become dissolved, bankrupt, insolvent or be under a receiver or make an assignment for the benefit of creditors or file any proceeding seeking any adjustment, arrangement, postponement, condonation, reduction of LESSEE's debts, liabilities, or obligations, or if the LESSEE abandons the LEASED PREMISES and the improvements thereon, the LESSOR may, in its absolute discretion, declare this contract, its
extension or renewal, cancelled or terminated and require the LESSEE to vacate the LEASED PREMISES, and the LESSOR shall forfeit in its favor, the deposit tendered without prejudice to any such other appropriate actions as may be legally authorized.

27.3 The LESSOR shall have a preferred lien upon all the merchandise, equipment and other personal properties that are located on or upon the LEASED PREMISES to secure the payment of all claims and damages the LESSOR may have against the LESSEE.

27.4 The LESSEE shall further hold the LESSOR free and harmless from any liability in respect of any claims made by any succeeding TENANT against the LESSOR in delivering possession of the LEASED PREMISES to such succeeding TENANT by the failure of the LESSEE to surrender the LEASED PREMISES on time. In case the succeeding TENANT or LESSEE cancels the lease by reason of such delay the LESSEE shall indemnify the LESSOR for whatsoever damage it may suffer by reason thereof.

27.5 The LESSEE certifies that it read, or its duly authorized representative has read or caused to be read all the provisions of the foregoing contract, receipt of a complete and signed copy of which is hereby expressly acknowledged by the **LESSEE** and it, or its aforesaid representatives has fully understood the contents of the same.

28. SEPARABILITY CLAUSE

The parties agree that should any clause or provision in this Contract be declared void, invalid or ineffective for any reason whatsoever, the validity of the remaining provisions shall not be affected and shall continue to be binding.

29. REPRESENTATIONS AND WARRANTIES

Each of the Parties hereto represents and warrants unto the other as follows:

a. It is duly organized, validly existing and in good standing under the laws of the jurisdiction of its incorporation, and has full power, authority and legal right to carry on its present business, incur the obligations provided for in this Contract, execute and deliver this Contract and to perform and observe the terms and provisions hereof;

b. It has all the requisite power and authority to enter into the Contract and perform all of its obligations hereunder according to the terms hereof;

c. The execution, delivery and performance of this Contract will not violate, with or without the giving of notice or the passage of time, any provisions of law or regulations applicable to the parties and will not conflict with or result in a breach or termination of any provisions of, or constitute a default under any agreement or instrument to which the parties are a party;

d. All authorizations, consents, approvals and licenses required for the execution, delivery and performance of this Contract have been or will be duly obtained or granted and are or will be in full force and effect;

e. The foregoing representations and warranties shall be valid and subsisting from the signing of this Contract until the termination of this Lease Contract.

30. DOCUMENTARY STAMP TAX

The LESSEE shall undertake to pay the **DOCUMENTARY STAMP** in the amount of _____ Pesos (**Php** _____) for this lease contract.

31. ATTORNEY'S FEES

In the event that this Contract is referred to a lawyer for other legal remedies allowed by law to the LESSOR, this Contract enforcement, cancellation or any other appropriate action, the LESSEE shall pay all legal costs and expenses, including attorney's fees of at least One Hundred Thousand Pesos (Php100,000.00) plus appropriate damages.

32. VENUE

All actions under this Contract of Lease shall be instituted in the proper court of the City of Makati to the exclusion of all other courts.

33. BINDING EFFECT

This contract shall be binding not only between the parties but also upon their respective heirs, successors and assigns.

34. ENTIRE AGREEMENT

This Contract of Lease, including the attached ANNEXES, and such HOUSE RULES AND REGULATIONS that the LESSOR may promulgate from time to time, embodies the entire agreement of the parties hereto. This Contract shall supersede all previous communications, representations or agreements, either oral or written, between the parties. No amendments to this Contract shall be valid unless the same are reduced to writing and signed by the parties.

IN WITNESS WHEREOF, the PARTIES have caused this Contract of Lease to be executed on the date and in the place above-mentioned.

ADEBE REALTY COMPANY INC.

MARIGOLD C. GARCIA
SAVP – Head of Leasing

MARY GRACE FOODS, INC. / CAFE MARY GRACE

ADRIAN P. DIMACALI
HR Manager & Legal Counsel

SIGNED IN THE PRESENCE OF:

Janna May G. Baculbas

Christine Joy Balinas-Acibar
Finance Supervisor
Name in Print/Signature

ACKNOWLEDGMENT

REPUBLIC OF THE PHILIPPINES)
CITY OF MAKATI) S. S.

07 OCT 2024

BEFORE ME, a Notary Public in the City of Makati, Philippines, personally appeared this _____ day of _____, 2023.

NAME	PROOF OF IDENTIFICATION	NUMBER
ADEBE REALTY COMPANY INC.	_____	_____
MARIGOLD C. GARCIA	_____	_____
MARY GRACE FOODS, INC.	_____	_____
ADRIAN P. DIMACALI	PASSPORT	P7271334A

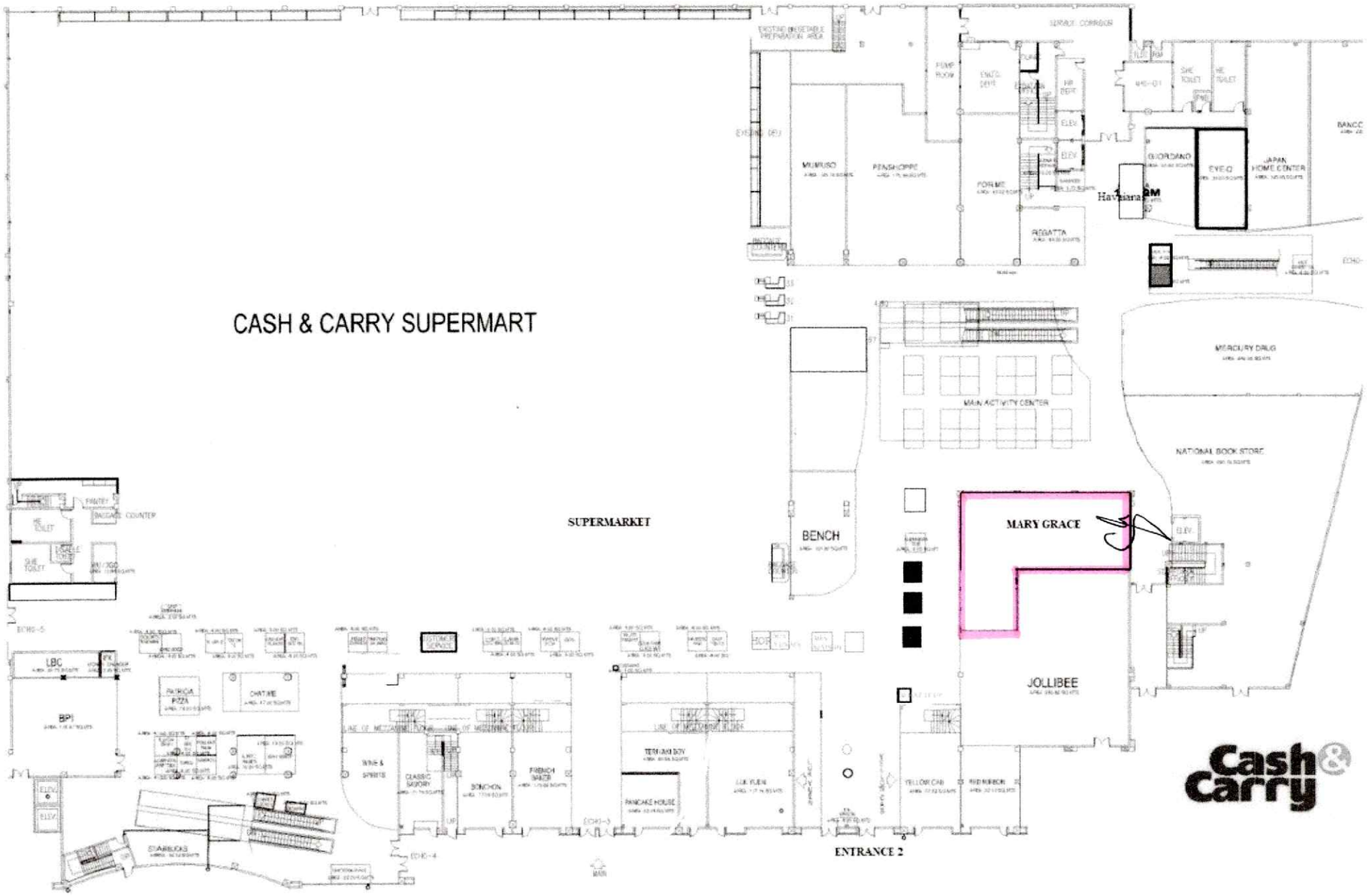
all known to me and to me known to be the same persons who executed the foregoing instrument, and they acknowledged to me that the same is their free and voluntary act and deed, in the capacity in which they appeared.

WITNESS MY HAND SEAL on the date and at the place hereinafter mentioned.

ATTY. JOSELINO N. SUCION CPA
NOTARY PUBLIC FOR MAKATI CITY
UNTIL DECEMBER 31, 2025
U-203 CARREON BLDG.
2746 ZENAIDA ST., POBLACION, MAKATI CITY
IBP NO. 306449/01/01/2024
PTR NO. 10072076/01/02/2024
MCLE COMPLAINCE NO. VII-0013028/04-14-2025
ROLL NO. 60799
APPOINTMENT NO. M-018

NOTARY PUBLIC

Doc. No. 69
Page No. 14
Book No. 97
Series of 2023


CASH & CARRY SUPERMART
SUPERMARKET
MARY GRACE
JOLLIBEE
BENCH
MAIN ACTIVITY CENTER
MERCURY DRUG
NATIONAL BOOK STORE
MUMUSO
PENSHOPPE
FORME
REGATTA
GIORDANO
EYE.Q
JAPAN HOME CENTER
Havaianas
BANCC
LBC
BPI
PATRICIA PIZZA
CHATIME
STARBUCKS
WINE & SPIRITS
CLASSIC SAVORY
BONCHON
FRENCH WAFFLE
TEN-KAI BOY
PANCAKE HOUSE
LUC FUENI
YELLOW CAB
RED RIBBON
ENTRANCE 2
Cash & Carry